

Fearnleys Dry Bulk Weekly

Oct 14, 2026

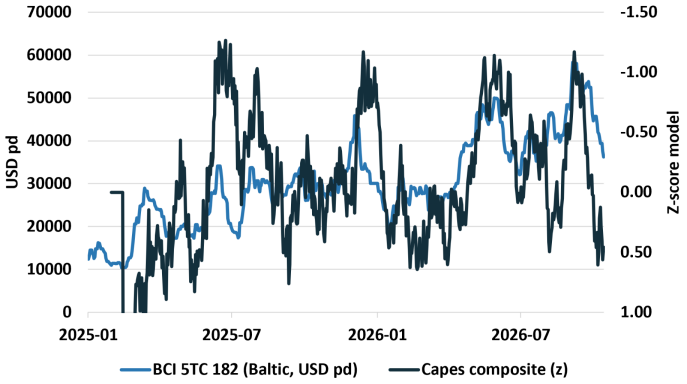
Capesize/Newcastlemax

We made a model consisting of factors like the global ballast/laden vessel ratio, West of Singapore ballasters, and a couple of other AIS indicators. Below the charts are tables showing where the model sits currently. It is only at extremes that these models give very clear suggestions about the near-term outlook.

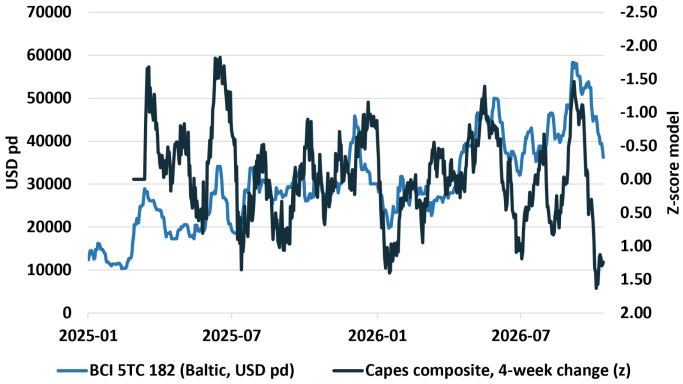
The models remain in "extremely low" territory, suggesting a bottom is close. To be specific, the models entered "bottom" territory last week, and the models exited the "top" territory about 4 weeks ago. So by the end of this week, the bearish signals will become much less relevant, and the bullish signals will become much more relevant, as the prediction period of the models is 2-4 weeks forward.

Total South Atlantic export volumes have been lower than last year in 3 out of the 4 previous weeks. This is mainly because Brazil iron ore export volumes have been lower than last year for five weeks straight.

Cape/Newc Composite Model



Cape/Newc Composite Model - 4 Weeks Change



Capesize composite vs forward BCI 5TC (182k), USD/day

Average forward BCI 5TC 182 change by composite bucket. Latest 6-Oct-2026: +0.61 (highlighted). n = valid realized windows per horizon; incomplete models excluded.

Model reading	Obs	+2w $/d	up %	+3w $/d	up %	+4w $/d	up %
< -1.00	32	-6,202 (n=32)	12%	-6,886 (n=32)	12%	-6,058 (n=31)	26%
-1.00 to -0.50	111	-3,026 (n=111)	21%	-3,671 (n=107)	23%	-3,626 (n=101)	32%
-0.50 to 0.00	173	2,376 (n=167)	63%	2,764 (n=164)	71%	2,825 (n=164)	70%
0.00 to +0.50	207	2,269 (n=200)	69%	3,013 (n=200)	74%	3,802 (n=200)	69%
+0.50 to +1.00	**60**	**366 (n=59)**	**58%**	**1,284 (n=59)**	**49%**	**1,078 (n=59)**	**42%**
> +1.00	17	9,320 (n=17)	94%	11,420 (n=17)	88%	10,706 (n=17)	88%
All observations	*600*	*847 (n=586)*	*55%*	*1,231 (n=579)*	*58%*	*1,600 (n=572)*	*58%*

Source: Fearnleys Research; AIS & Baltic Exchange. Jan-2025 to 6-Oct-2026, overlapping daily windows. Rates carried on non-publication days.

Capesize composite 4-week change vs forward BCI 5TC (182k), USD/day

Average forward BCI 5TC 182 change by 28-day change in the composite. Latest 6-Oct-2026: +1.58 (highlighted). n = valid realized windows per horizon; incomplete models excluded.

Model reading	Obs	+2w $/d	up %	+3w $/d	up %	+4w $/d	up %
< -1.00	52	-4,875 (n=52)	12%	-6,363 (n=50)	12%	-6,661 (n=46)	22%
-1.00 to -0.50	104	-1,535 (n=104)	38%	-2,598 (n=102)	37%	-3,262 (n=99)	37%
-0.50 to 0.00	145	1,671 (n=144)	65%	2,076 (n=141)	70%	2,963 (n=141)	63%
0.00 to +0.50	155	654 (n=151)	51%	2,004 (n=151)	56%	3,030 (n=151)	61%
+0.50 to +1.00	85	2,827 (n=81)	72%	4,442 (n=81)	80%	4,674 (n=81)	75%
> +1.00	**31**	**5,651 (n=26)**	**85%**	**4,937 (n=26)**	**96%**	**4,515 (n=26)**	**88%**
All observations	*572*	*542 (n=558)*	*53%*	*908 (n=551)*	*58%*	*1,364 (n=544)*	*57%*

Source: Fearnleys Research; AIS & Baltic Exchange. Jan-2025 to 6-Oct-2026, overlapping daily windows. Rates carried on non-publication days.

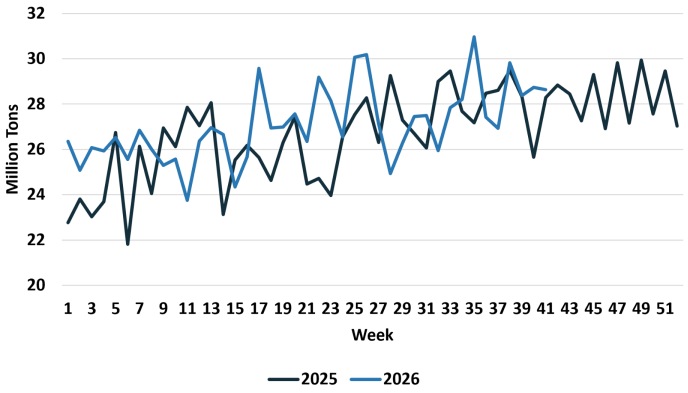
Panamax/Kamsarmax

Shipment volume growth continues to be lower than DWT supply growth, with a slight worsening seen over the last few weeks. Through week 41, growth was 2.8%, compared to DWT supply growth of 4.7%. Over the last 10 weeks, volume growth was 0.3% compared to the same period last year.

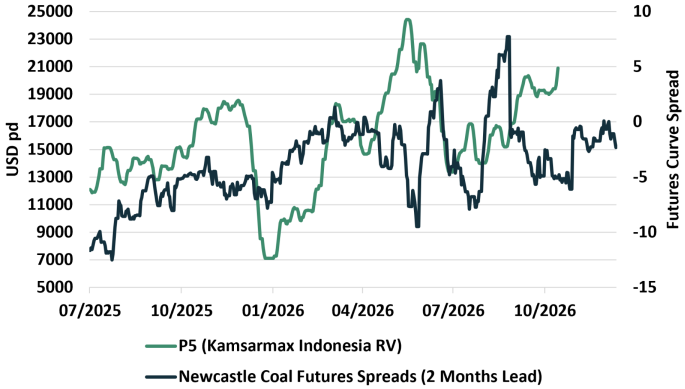
The outlook given last week still stands *"The South Atlantic tightness indicator suggests a slow upward movement over the next weeks, whereas the Pacific tightness indicator suggests the market will drop. If Capes bottom soon, as suggested in that section, it most likely means sideways over the next couple of weeks for Kamsarmaxes."*

Top left chart: Shipment volumes were up 2.8% year on year through week 41. In the last ten weeks, volumes were down +0.3% compared to the same period last year. Supply growth was 4.2% at the latest reading.
Top right chart: The 2-month lead of the coal futures curve has been less accurate in the last couple of months. If the correlation improves, it suggests further upside in the next month, then a top in November.
Bottom left chart: The Pacific tightness indicator suggests the market could correct over the next weeks.
Bottom right chart: The SATL tightness indicator suggests P6 will rise slightly over the next weeks.

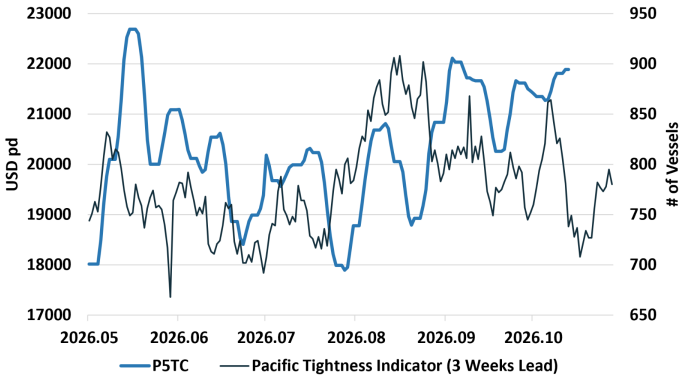
Weekly Shipment Volumes



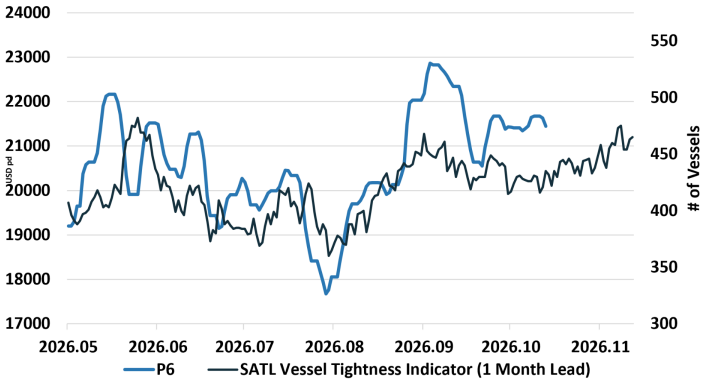
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 3 Weeks)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)

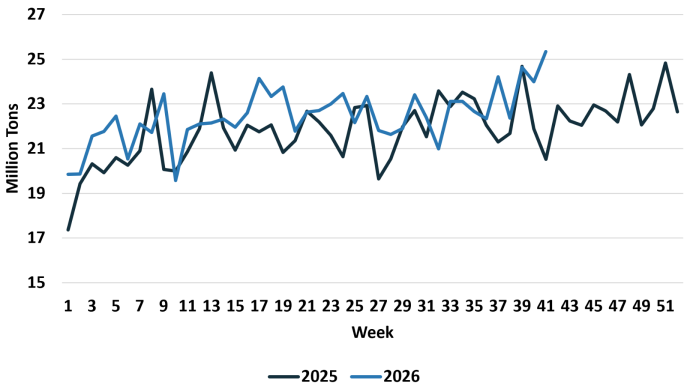


Supramax/Ultramax

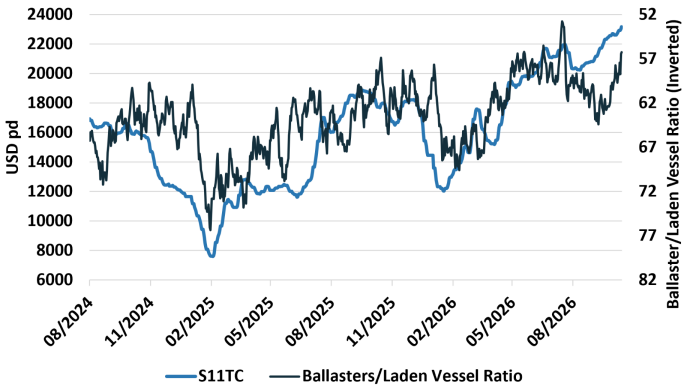
Through week 41, shipment volume growth was 3.9% year-on-year, whereas over the last 10 weeks, growth was 3.4% compared to the same period last year. DWT supply growth continues at 5.5% year-on-year.
The ballast/laden vessel reading has reached a level which suggests further upside is limited in the near term. The reading now is comparable to July this year and September/October/November last year.

Top left chart: Weekly shipment volumes, 2026 ytd vs 2025.
Top right chart: S11TC vs the Ballaster/Laden vessel ratio. A lower ratio indicates a looser market balance, and vice versa. The index and the ballast/laden ratio have diverged from the index over the last month and a half
Bottom left chart: The industrial metals index is composed of copper, aluminium, zinc and nickel, and weighted according to market value. The 9-month change of this index has a high correlation with the 9-month change of the Ultramax 1-year TC rate, and leads by about 3 months.
Bottom right chart: The 9-month change of the price of copper has a high correlation with the 9-month change of the Ultramax 1-year TC rate. The copper price change leads by about 4 months.

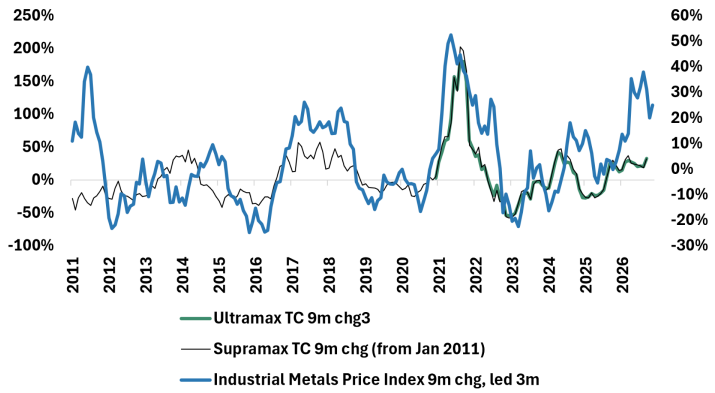
Weekly Shipment Volumes



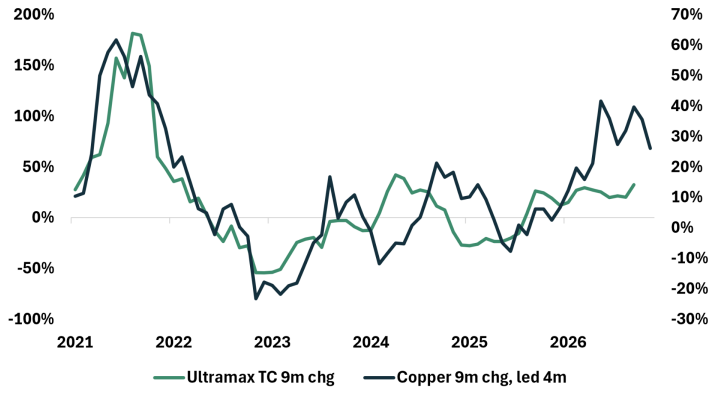
Ballaster/Laden Vessel Ratio vs S11TC



Industrial Metals Price Index vs Ultra/Supra 1 Year TC



Copper Price vs Ultramax 1 Year TC

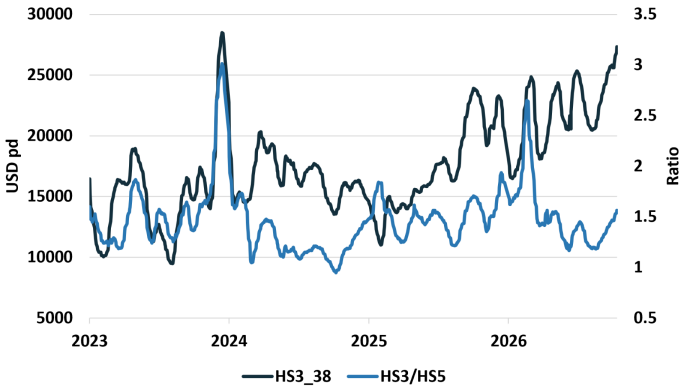


Handysize

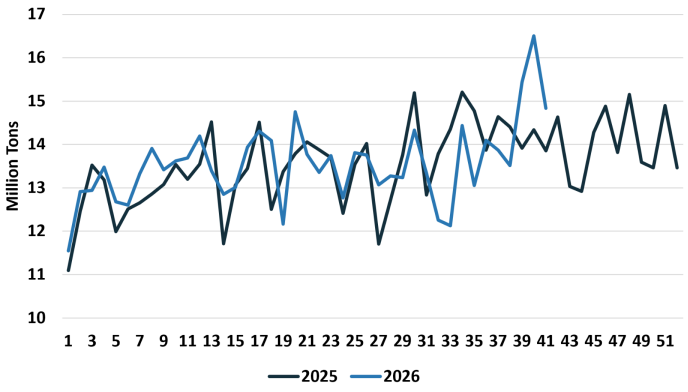
Through week 41, shipment volumes grew by an estimated 0.7% compared to last year. DWT supply growth remains at 3.2%. The market remains firmer than the weak headline figures suggest. In the near term, the strength of the Ultramax segment suggests continued sideways/slightly up in this segment.

Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.
Top right chart: Through week 41, Handysize shipment volumes were 0.7% higher year on year, declining from the 3%+ figures seen in the last months. DWT supply growth was 3.2% at the latest reading.
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.
Bottom right chart: The change in the price of copper is usually an accurate leading indicator for asset values.

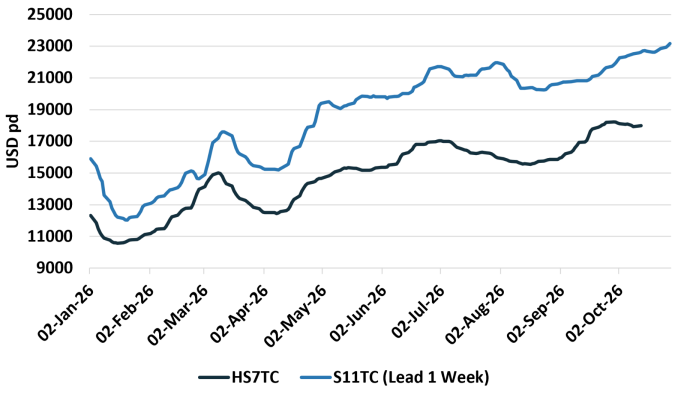
HS3 vs Ratio of HS3 and HS5



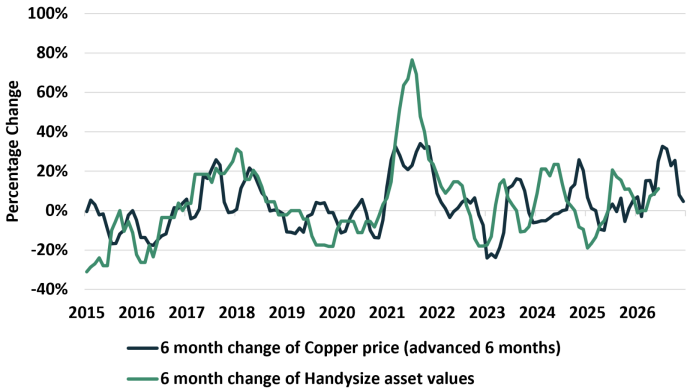
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC

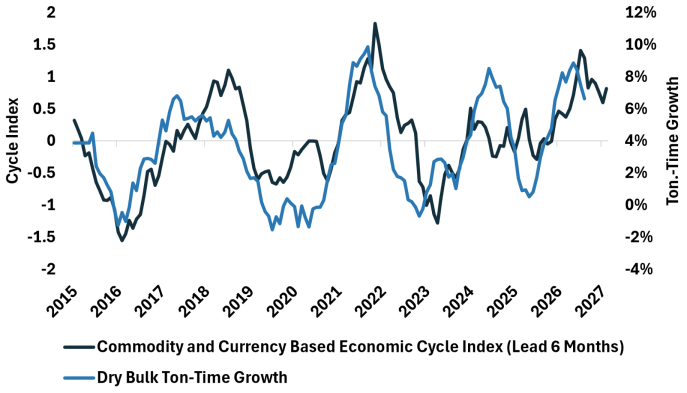


Copper Price 6 Months Change, 6 Months Lead, vs Handysize 10 Year Old 6 Months Change

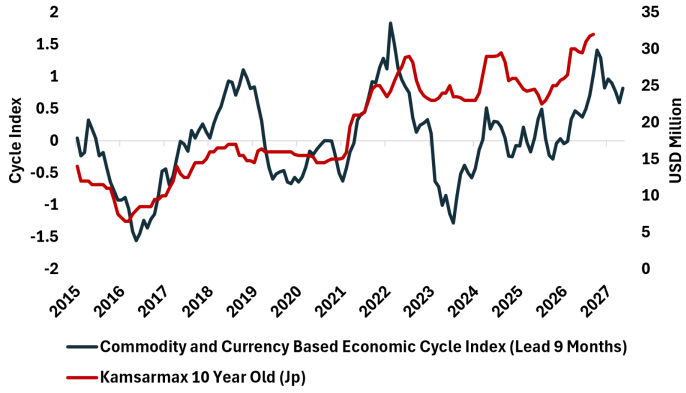


Fundamentals and Macro

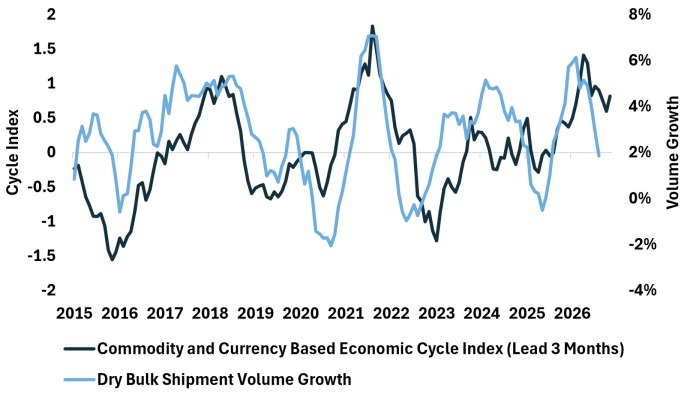
Economic Cycle Index vs Dry Bulk Ton-Time Growth



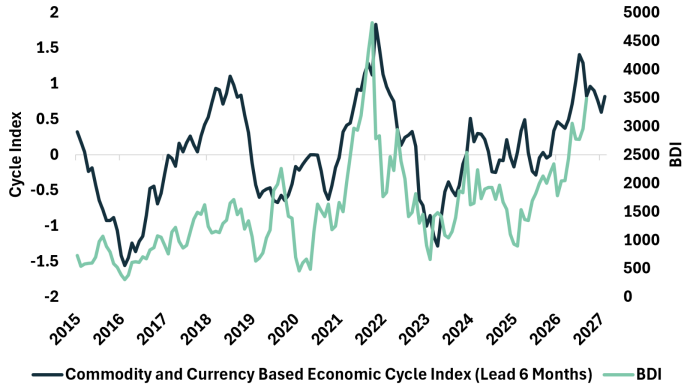
Economic Cycle Index vs Kamsarmax 10-Year Old



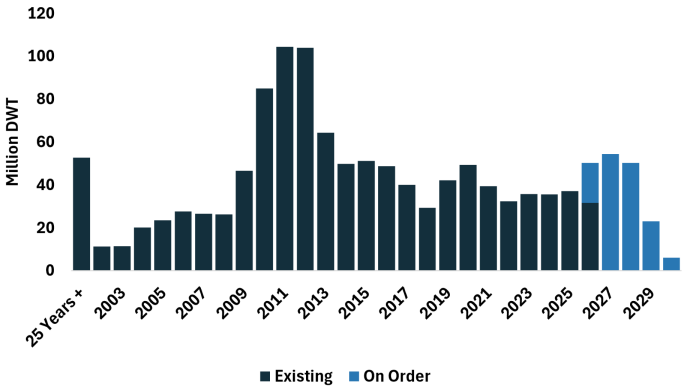
Economic Cycle Index vs Dry Bulk Volume Growth



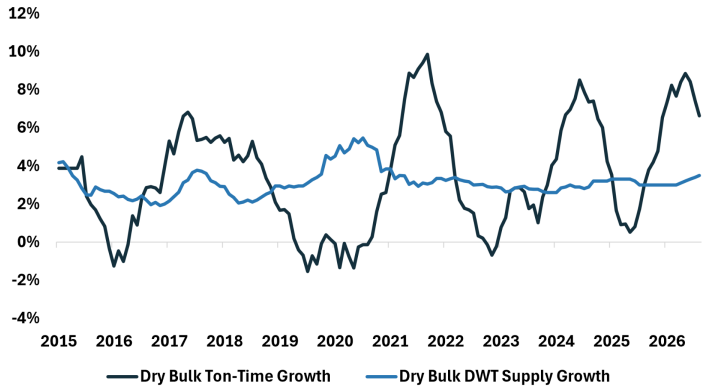
Economic Cycle Index vs BDI



Fleet Age Profile



Ton-Time Growth vs DWT Supply Growth



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